

THE SESSION • POST-CLOSE READ

Software Over Silicon

Index-level calm concealed a decisive rotation: a semiconductor gauge fell 4.4% while most S&P 500 constituents rose. The Dividend Strategy closed +1.55% ahead of DVY and SPY; the Growth Portfolio finished -1.40% against IUSG at -0.55%.

S&P 500 ▲ 0.06%

NASDAQ ▼ 0.62%

DOW ▲ 0.46%

VIX 18.64

BRENT ▼ \$95

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+1.55%

1-DAY

FCI		+1.55%
DVY		+1.33%
SPY		+0.11%

YTD +19.51% vs DVY +17.31% · SPY +8.93%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.40%

1-DAY

FCI		-1.40%
IUSG		-0.55%

YTD +15.29% vs IUSG +8.51%

THE SESSION

Friday gave the clearest expression yet of a market that has stopped paying for capacity and started paying for cash flow. The S&P 500 finished the week almost exactly where it opened the session, +0.06% at 7,412.88, while the Dow added 0.46% and the Nasdaq gave back 0.62%. That index-level calm concealed one of the sharper internal rotations of the month: a gauge of semiconductor shares fell 4.4% even as the majority of S&P 500 constituents finished green. Brent crude retreated roughly 5% toward \$95 after Thursday's settle above \$100, easing the inflation impulse that had unsettled bonds, and Treasury yields drifted lower into the Federal Reserve's July 28–29 decision. Flash PMI data showed U.S. business activity expanding at its fastest pace in eight months.

The composition was the whole story. Capital moved out of AI hardware and into enterprise software and cash-generative defensives — the same “sell chips, buy software” posture the desks flagged all afternoon. Within the Growth Portfolio, Credo closed -9.87% on a seventh straight decline with no company-specific news, Marvell -7.21%, AMD -3.29% and Taiwan Semiconductor -2.93%; Lam Research, in the Dividend Strategy, gave back 4.56% into its July 29 print. ServiceNow was the offset, +7.44%, extending Wednesday's AI contract-value milestone as Salesforce's \$1.6 billion Veterans Affairs award reframed federal spending as an enterprise-software story rather than a silicon one. SS&C Technologies led the entire board at +10.35% on a record quarter.

A day the semiconductor complex de-rates and our dividend sleeve still adds 1.55% is not luck. It is what owning two distinct sources of business value is supposed to do.

The Morning Brief framed Thursday as a rotation rather than a broad de-risking, and Friday settled that question. The Dividend Strategy closed +1.55%, ahead of DVY at +1.33% and SPY at +0.11%, carried by healthcare, defense and cash-compounding services — Stryker +3.54%, Abbott +2.33%, Lockheed Martin +2.49% in a second day of follow-through on its beat-and-raise. The Growth Portfolio closed -1.40%

against IUSG at -0.55%, the gap owed almost entirely to concentration in AI connectivity and the digital-asset complex; bitcoin eased to roughly \$64,180 and took Hut 8 (-6.53%), MARA (-5.09%) and Robinhood (-6.57%) with it, while the digital-asset ETFs were comparatively contained — IBIT -0.82% and ETHA -0.50%. Both sleeves remain well ahead of their benchmarks year to date.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

SSNC +10.35%

DIVIDEND

SS&C posted record Q2 adjusted revenue of \$1.70 billion, up 10.3%, with adjusted EPS of \$1.76 and \$499 million returned to shareholders.

NOW +7.44%

GROWTH

ServiceNow extended its post-print advance as federal AI awards across enterprise software reframed the government spending wave.

SYK +3.54%

DIVIDEND

Stryker rode a second day of the healthcare bid ahead of its July 30 report, with medical technology drawing rotation flows.

GPC +3.47%

DIVIDEND

Genuine Parts recovered further from its post-earnings decline as investors revisited a reaffirmed \$7.50-\$8.00 full-year outlook.

DECLINERS

CRDO -9.87%

GROWTH

Credo declined for a seventh consecutive session with no company-specific news, caught in the AI-connectivity de-rating.

MRVL -7.21%

GROWTH

Marvell fell with the custom-silicon cohort as the semiconductor gauge dropped 4.4% on the session.

HOOD -6.57%

GROWTH

Robinhood retreated with a softer crypto tape and lingering effects of the CEO account compromise, ahead of its July 29 report.

HUT -6.53%

GROWTH

Hut 8 gave back Monday's AI-lease gain as bitcoin eased toward \$64,180 and the mining cohort sold with it.

ADP +2.97%

DIVIDEND

ADP advanced into its July 29 fiscal fourth-quarter print on a run of raised price targets from Cantor Fitzgerald and UBS.

STLD +2.72%

DIVIDEND

Steel Dynamics gained with physical-industrial names as capital rotated toward tangible cash-flow generation.

LMT +2.49%

DIVIDEND

Lockheed Martin added a second session of follow-through on Thursday's beat-and-raise and free-cash-flow inflection.

ABT +2.33%

DIVIDEND

Abbott participated in the broad healthcare bid as defensive medical names absorbed flows leaving semiconductors.

LRCX -4.56%

DIVIDEND

Lam Research declined with wafer-fabrication equipment names into its July 29 report as capital-spending expectations were reset.

AMD -3.29%

GROWTH

AMD was swept into the chip selling despite price-target raises and commentary on its AI ecosystem partnerships.

TSM -2.93%

GROWTH

Taiwan Semiconductor tracked the foundry complex lower as investors questioned the durability of the AI build-out.

QCOM -2.42%

DIVIDEND

Qualcomm eased with the broader semiconductor tape even as reports pointed to double-digit price increases for customers.

HOLDINGS NEWS

NextEra Energy (NEE) — Q2 beat, backlog builds, guidance reaffirmed at the high end. Adjusted EPS of \$1.15 topped the roughly \$1.08-\$1.11 consensus against \$1.05 a year ago, with GAAP EPS of \$1.50. Energy Resources added 3.6 gigawatts of renewables and storage — including 2 GW of batteries — taking the backlog to about 35.1 GW, while FPL raised its large-load expectation to 8 GW by 2032

from 6 GW on \$12-\$13 billion of planned capital. Management reaffirmed 2026 adjusted EPS of \$3.92-\$4.02, targeting the high end, and filed merger applications on the proposed Dominion combination. Revenue came in light and the shares finished the day essentially unchanged at \$89.78.

SS&C Technologies (SSNC) — record quarter across every line. Adjusted revenue rose 10.3% to \$1.697 billion with 7.6% organic growth, adjusted EPS up 18% to \$1.76, and adjusted EBITDA of \$670.7 million at a 39.5% margin. The company returned \$499.2 million to shareholders in the quarter, repurchasing 6.4 million shares for \$435.2 million and reducing the diluted count 4% year over year. Management described the CURO and Calastone acquisitions as tracking ahead of plan.

ServiceNow (NOW) — AI contract value crosses \$1 billion. Subscription revenue rose about 24.5% to \$3.88 billion with current remaining performance obligations up 21% to \$13.2 billion and total RPO of \$29 billion. AI annual contract value passed \$1 billion ahead of the company's \$1.5 billion 2026 target, and the full-year subscription guide moved to roughly \$15.77 billion on strong federal demand.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+19.51%

vs DVY +17.31% / SPY +8.93%

GROWTH PORTFOLIO

+15.29%

vs IUSG +8.51%